## THE GREAT GAMECHANGER

» GST has simplified tax structure, thus cutting down on the compliance burden on businesses

» Led to formalisation of Indian economy by incentivising businesses to get registered

» Boosted logistics and supply chain efficiency by removing check posts at state borders

» Gave a fillip to govt's finances by increasing tax revenue

» Established India as a single market, removing interstate trade barriers

» Promoted digitisation of businesses through e-invoicing, online tax filing etc.

**DID YOU KNOW?**

Along with EU-VAT and China's VAT system, GST is now seen as one of the reference points for taxation across the world. Especially, for the way it has harmonised diverse interests of numerous states

**14 MILLION**
GST taxpayers in 2023, up from 6.4 mn in 2017

**₹1.82 LAKH CRORE**
Monthly GST collections in Nov. 2024

**9.3 PER CENT**
YoY growth in GST collections (Apr.-Nov. '24)



**"The landmark GST is India's new tryst with destiny which will unite all the states of the country once again...has the potential to increase growth substantially once all the uncertainty peels away"**

**— SHOBANA KAMINENI,** *Executive vice-chairperson, Apollo Hospitals, & then CII president, on the GST rollout in Jul. 2017*

ties, though it left manufacturing-heavy states at a disadvantage compared to consumption-driven ones.

Efforts to address these concerns began in 2007, with the Empowered Committee of State Finance Ministers, led by West Bengal's Asim Dasgupta, studying GST's implications. Four years later, PM Manmohan Singh-led UPA regime tabled the GST Bill in Parliament, but manufacturing states put their foot down. Among those opposed to it was the then chief minister of Gujarat, Narendra Modi. After storming to power at the Centre, Modi worked with then finance minister Arun Jaitley to propose a time-bound compensation to the states for any revenue loss due to GST. The bill finally made its way through Parliament in August 2016.

Despite these initial hurdles, GST stands as one of India's most significant tax reforms. The formation of the GST Council—a federal body chaired by the Union finance minister and including finance ministers from all states and Union Territories—ensured collaborative decision-making. Yet, complexities persist. The current GST structure includes seven tax slabs, from nil-rated goods to the highest 28 per cent bracket, with additional cesses making the effective tax rate even higher. This multi-slab system has drawn criticism for diluting the promise of simplification.

Nevertheless, GST's impact is undeniable. Logistics efficiency has improved, as state border checks for goods movement have been eliminated, leading to a boom in the warehousing sector. According to a recent report of the credit rating agency CRISIL, the turnaround time has come down by 20-25 per cent while the logistics costs fell by 1.5-2 per cent vis-à-vis the pre-GST era.

Compliance has surged, with GST taxpayers growing from 6.4 million in 2017 to 14 million in 2023. November 2024 saw GST collections touch Rs 1.82 lakh crore—the fourth highest for any month since inception—driven by 9.4 per cent growth in domestic consumption. Gross GST collection has grown to Rs 14.56 lakh crore—a 9.3 per cent YoY rise—in April-November 2024.

By formalising the economy and boosting transparency, GST has not only increased indirect tax compliance but also bolstered direct tax collections. While imperfections remain, the reform underscores India's ability to navigate complex challenges in pursuit of economic progress. ■